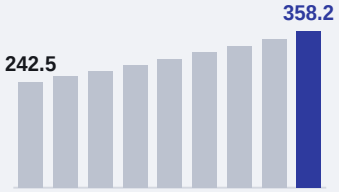
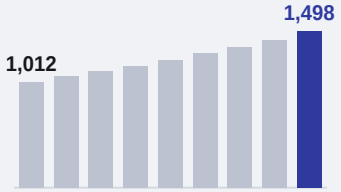
Revenue grew 21.3% to $358.2M and operating margin widened 5.4 points to 16.6%, both above guidance

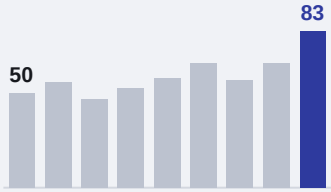
Total revenue
$358.2M
+21.3% year on year



Ending ARR
$1,498M
+22.2% year on year



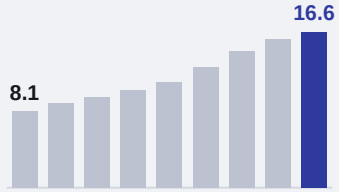
Net new ARR
$83M
Record; +43.1% year on year



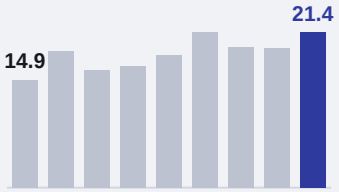
Net revenue retention
119%
+3 pts from the 116% low



Operating margin
16.6%
+5.4 pts year on year



Free cash flow margin
21.4%
+3.1 pts year on year



Bars and line: nine quarters, Q3 FY24 to Q3 FY26, the first and last labelled (and the low on retention); Q3 FY26 in indigo

The quarter against last year

Q3 FY26 in indigo; GAAP margin and stock compensation as reported

Metric	Q3 FY25	Q3 FY26	Change
Subscription revenue ($M)	280.3	**342.8**	+22.3%
Remaining performance obligations ($M)	1,384	**1,741**	+25.8%
Customers above $100K ARR	1,779	**2,148**	+20.7%
Customers above $1M ARR	81	**109**	+34.6%
GAAP operating margin (%)	(8.9)	**(0.4)**	+8.5 pts
Stock-based compensation (% of revenue)	16.2	**14.6**	(1.6) pts
Rule of 40 (%)	40.0	**42.7**	+2.7 pts

Against Q3 guidance

guided in August 2026 (grey); beat against the high end in green

Metric	Guidance	Actual	vs high end
Revenue ($M)	350.0-354.0	**358.2**	**+4.2**
Operating income ($M)	52.0-54.0	**59.5**	**+5.5**
Operating margin (%)	14.9-15.3	**16.6**	**+1.3 pts**

Operating income and margin are non-GAAP; guided margin is the guided income over guided revenue at each end of the range.

FY2026 guidance, raised

issued 26 October 2026; new guidance in amber, August's in grey

Metric	Now	August
Revenue ($M)	**1,394.4-1,398.4**	1,379.0-1,389.0
Growth year on year (%)	**20.9-21.3**	19.6-20.4
Operating margin (%)	**15.9-16.0**	15.5-15.7

What drove the quarter

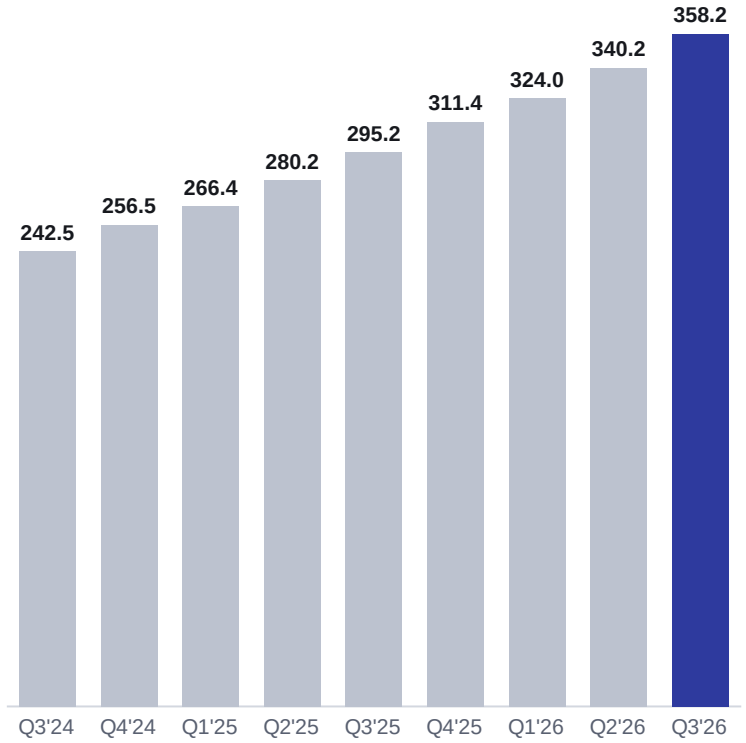
- Net new ARR of $83M was a record, $17M above the prior high, as customers above $1M ARR rose 34.6% to 109.
- Net revenue retention rose for a third quarter, to 119% from 116%.
- Sales and marketing fell to 35.8% of revenue from 38.9%, 3.1 of the 5.4 points of margin gained.

Source: Corvane Software management accounts (fictional; illustrative figures). Non-GAAP unless stated; fiscal year ends December.

ARR grew 22.2% to $1,498M on a record $83M of net new ARR

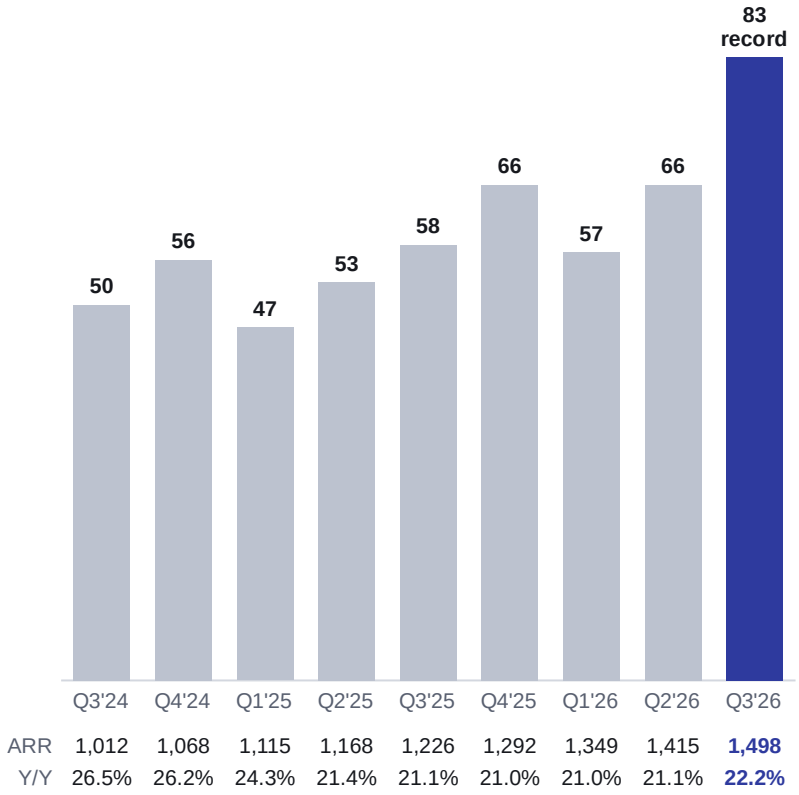
Total revenue

$M by fiscal quarter; growth on the same quarter a year before beneath



Net new ARR

$M added in the quarter; ending ARR ($M) and its growth beneath



What moved

- Net new ARR of $83M was 43.1% above Q3 FY25's $58M and $17M above the prior record of $66M.
- ARR growth of 22.2% ran 0.9 points ahead of revenue growth.
- ARR growth rose to 22.2% after four quarters between 21.0% and 21.1%; revenue growth held between 21.3% and 21.7% for five quarters.

Revenue by type

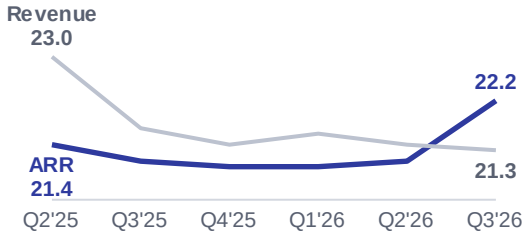
subscription 95.7% of revenue in Q3 FY26

$M	Q3 FY25	Q3 FY26	Y/Y (%)
Subscription	280.3	342.8	22.3
Services	14.9	15.4	3.4
Total revenue	**295.2**	358.2	**21.3**

ARR: annualised value of subscription contracts in force at quarter end. Net new ARR: the change in ARR over the quarter.

ARR growth against revenue growth

Y/Y (%), Q2'25 to Q3'26; ARR ahead after five quarters behind

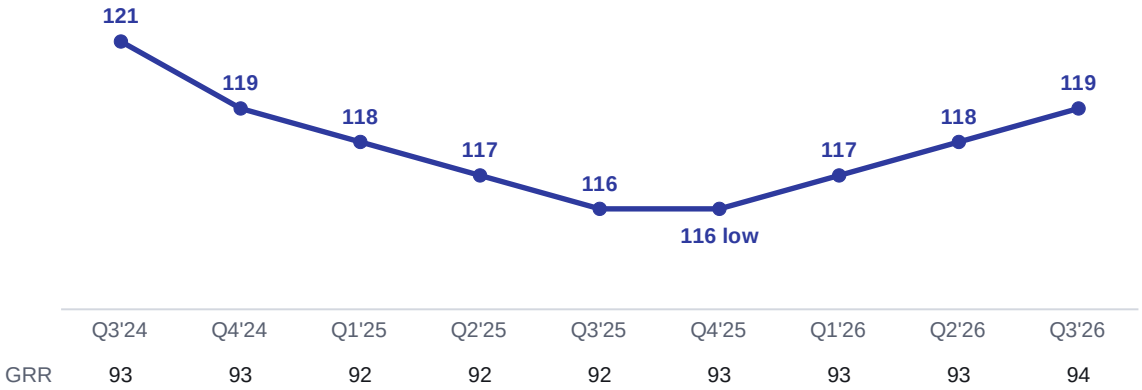


Source: Corvane Software management accounts (fictional; illustrative figures). Non-GAAP unless stated; fiscal year ends December.

Net revenue retention rose for a third quarter to 119%, and the FY2024 cohort expanded fastest in its second year

Net and gross revenue retention

net retention (%, trailing four quarters) plotted; gross retention (GRR, %) beneath



ARR by annual cohort, as a multiple of first-year ARR

x, by years since the cohort landed; FY2024 cohort in indigo



Unit economics

non-GAAP, last five quarters; Q3 FY26 in indigo

Metric	Q3'25	Q4'25	Q1'26	Q2'26	Q3'26
Gross margin (%)	79.6	79.9	80.1	80.3	80.4
Sales and marketing (% of revenue)	38.9	38.1	37.0	36.2	35.8
CAC payback (months)	**28.8**	**26.1**	**31.2**	**27.1**	**22.2**
ARR magic number (x)	**0.52**	**0.57**	**0.48**	**0.55**	**0.67**
Free cash flow margin (%)	18.3	21.5	19.4	19.3	21.4
Rule of 40 (%)	40.0	42.9	41.0	40.7	42.7
Customers above $100K ARR	1,779	1,858	1,931	2,032	2,148

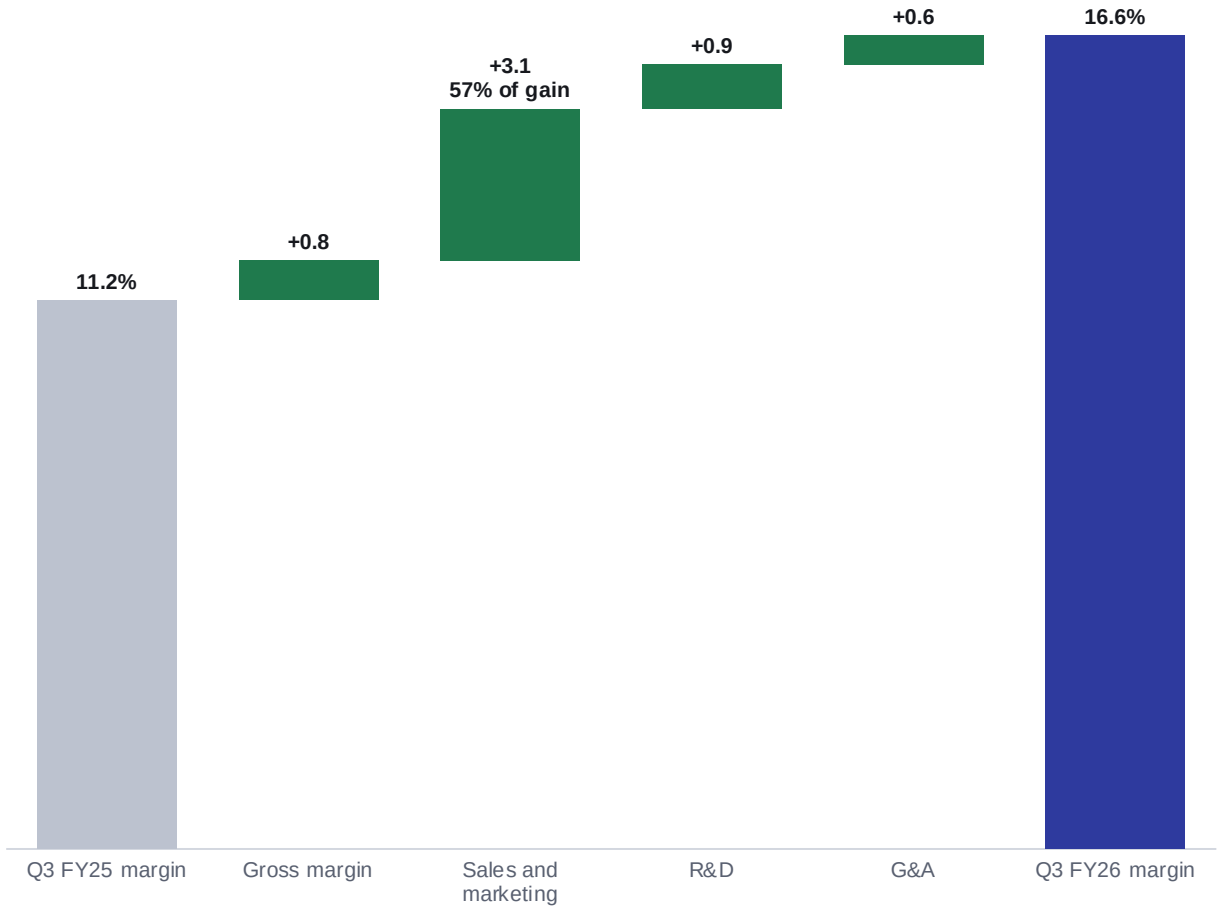
A cohort is the customers landed in a fiscal year; its ARR is indexed to the end of that year. The FY2025 cohort has one year and is not drawn. CAC payback: prior-quarter sales and marketing over net new ARR times gross margin, in months. ARR magic number: net new ARR over prior-quarter sales and marketing.

Source: Corvane Software management accounts (fictional; illustrative figures). Non-GAAP unless stated; fiscal year ends December.

Operating margin widened 5.4 points to 16.6%, 3.1 of them from sales and marketing

Operating margin bridge, Q3 FY25 to Q3 FY26

% of revenue; each step is the fall in that cost line's share of revenue (gross margin: its rise)



Cost structure

% of revenue, last five quarters

% of revenue	Q3'25	Q4'25	Q1'26	Q2'26	Q3'26
Gross margin	79.6	79.9	80.1	80.3	80.4
Sales and marketing	38.9	38.1	37.0	36.2	35.8
Research and development	20.4	20.1	19.9	19.7	19.5
General and administrative	9.1	8.9	8.7	8.6	8.5
Operating margin	**11.2**	**12.8**	**14.5**	**15.8**	**16.6**

GAAP to non-GAAP operating income

$M, last five quarters

$M	Q3'25	Q4'25	Q1'26	Q2'26	Q3'26
GAAP operating income (loss)	(26.3)	(17.3)	(12.5)	(7.0)	(1.3)
Stock-based compensation	47.9	49.6	50.2	51.4	52.3
Amortization of acquired intangibles	6.4	6.4	6.2	6.1	6.1
Employer payroll tax on equity	1.9	1.2	3.1	2.2	2.4
Restructuring	3.2	0.0	0.0	1.1	0.0
Non-GAAP operating income	**33.1**	**39.9**	**47.0**	**53.8**	59.5

Free cash flow

$M; margin 18.3% in Q3 FY25 and 21.4% in Q3 FY26

$M	Q3'25	Q4'25	Q1'26	Q2'26	Q3'26
Operating cash flow	61.2	74.8	70.3	73.9	86.5
Capital expenditure	(7.1)	(8.0)	(7.4)	(8.3)	(9.8)
Free cash flow	**54.1**	**66.8**	**62.9**	**65.6**	76.7

GAAP operating margin rose from (8.9)% to (0.4)% of revenue. Negatives in parentheses.

Source: Corvane Software management accounts (fictional; illustrative figures). Non-GAAP except the GAAP line of the reconciliation; fiscal year ends December.

FY2026 revenue guidance raised a third time, to $1,394.4-1,398.4M, 20.9-21.3% growth

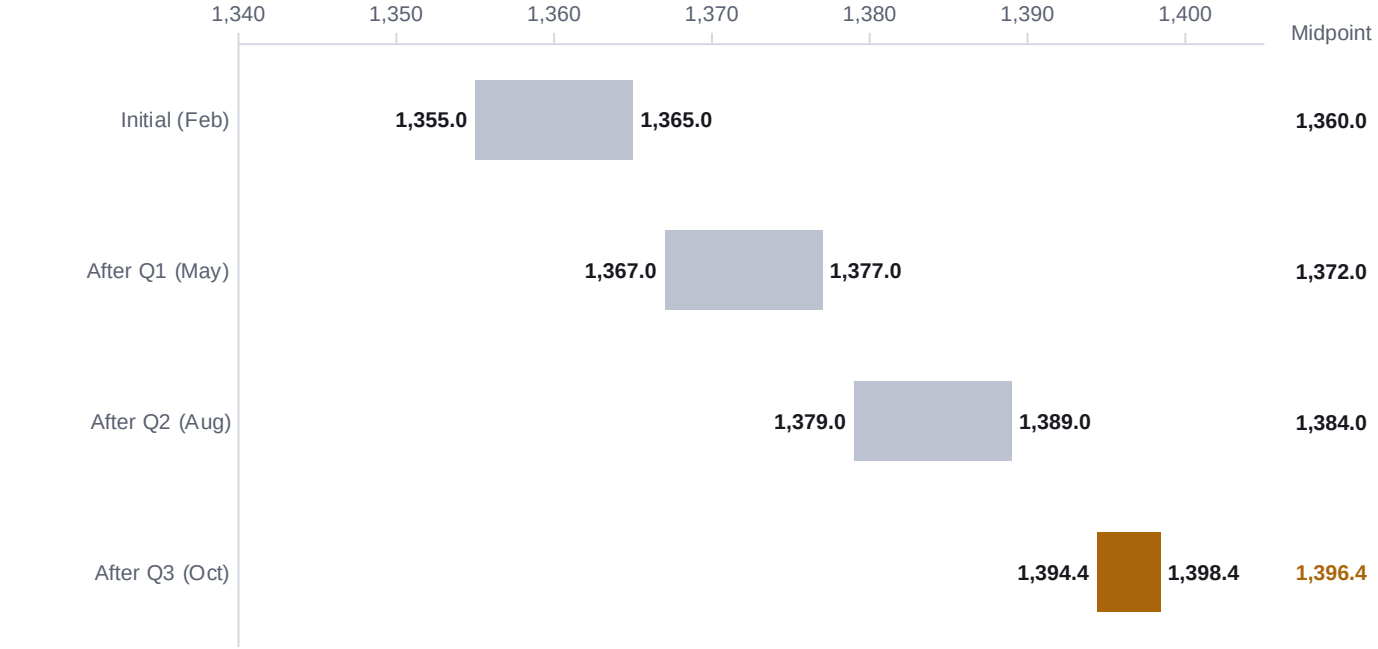
Guidance

issued 26 October 2026; non-GAAP; new guidance in amber, August's in grey

Metric	Q4 FY26	FY2026 now	FY2026 in August
Revenue ($M)	372.0-376.0	1,394.4-1,398.4	1,379.0-1,389.0
Growth year on year (%)	19.5-20.7	20.9-21.3	19.6-20.4
Operating income ($M)	61.0-63.0	221.3-223.3	214.0-218.0
Operating margin (%)	16.4-16.8	15.9-16.0	15.5-15.7

FY2026 revenue guidance at each update

$M, low to high; the current range in amber, superseded ranges in slate



What the guidance assumes

- The full-year midpoint of $1,396.4M is $12.4M above August's and $36.4M (2.7%) above the initial $1,360.0M.
- Q4 growth of 19.5-20.7% assumes net new ARR returns to its usual range after Q3's record.
- Full-year operating margin of 15.9-16.0%, up from 15.5-15.7% guided in August.
- Exchange rates as of October 2026; no acquisitions.

Long-term target model

% of revenue, non-GAAP; targets (amber) are forward-looking

% of revenue	Q3 FY26	Target
Gross margin	80.4	80-82
Sales and marketing	35.8	28-30
Research and development	19.5	15-17
General and administrative	8.5	6-7
Operating margin	16.6	25-28
Free cash flow margin	21.4	28-30

Operating margin is 8.4 points below the low end of its target.

Q4 FY26 guidance against Q4 FY25

non-GAAP; guidance in amber

Metric	Q4 FY25	Q4 FY26 guide	Change
Revenue ($M)	311.4	372.0-376.0	+19.5-20.7%
Operating income ($M)	39.9	61.0-63.0	+52.9-57.9%
Operating margin (%)	12.8	16.4-16.8	+3.6-4.0 pts

Forward-looking statements: guidance reflects expectations when issued and carries risk. Corvane Software is fictional; every figure is illustrative.

Source: Corvane Software management accounts (fictional; illustrative figures). Non-GAAP unless stated; fiscal year ends December.